

Magic Quadrant for AI Applications in IT Service Management

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AI applications in IT service management use AI to augment and extend ITSM workflows, enabling organizations to deliver IT support to business users and intelligent advisory and actions for IT agents. This Magic Quadrant evaluates nine highly relevant vendors offering AI-focused ITSM products for heads of I&O.

Strategic Planning Assumptions

- In 2028, agentic ITSM actions will cause at least 2,000 incidents per medium organization due to the unreadiness of I&O teams and AI software immaturity.
- By 2028, more than 30% of ITSM platform costs will be for AI capabilities, up from less than 15% in 2025.
- By 2030, AI and automation will enable 80% of ITSM core workflows to run autonomously, reserving human action only for exceptions.

Market Definition/Description

Gartner defines AI applications in IT service management as tools that augment and enhance IT service management (ITSM) workflows using AI. These tools analyze ITSM data and metadata (primarily found in ITSM platforms) to provide intelligent advice and execute actions

on ITSM practices and workflows, such as IT service desk and support activities. The software can be delivered as an incumbent ITSM platform with integrated AI features, a native AI add-on or a third-party product that integrates with an ITSM platform.

AI applications for ITSM help heads of I&O lower IT support costs, reduce service disruptions and improve the employee IT experience. These products automate repetitive IT support tasks and provide IT agents (both human and AI) with recommended actions for complex issues, such as change management or problem investigation. For example, a virtual support agent can resolve routine service requests without human intervention, while AI-driven analysis can detect patterns in incident data to identify connected service issues. These solutions also generate and summarize IT knowledge and communications, ensuring accurate and timely information is shared with users and stakeholders.

GenAI allows IT agents to create process automations and workflows using natural language prompts, ensuring consistent and efficient execution of routine tasks. Agentic ITSM capabilities provide nondeterministic automation for more complex or dynamic scenarios, allowing IT operations to respond intelligently and quickly to incidents.

By deploying AI applications for ITSM, heads of I&O can lower operational costs, improve resolution times, deliver higher service reliability, and provide a more responsive IT support experience.

[AI Use-Case Assessment for IT Service Desk](#) provides further details on the AI and GenAI opportunities that tools such as AI applications for ITSM are able to address.

Mandatory Features

At a minimum, an AI application for ITSM must:

- Use AI technologies to analyze ITSM data and metadata to generate recommendations or actions for human IT agents in IT incident, request and knowledge management practices.
- Use AI technologies to analyze ITSM data and metadata to generate recommendations or actions for human IT agents in at least one of the following: IT problem, change or configuration management practices.

Optional Features

The optional features for the AI application for ITSM market include:

- Conversational agents, including:

- Virtual support agents as business consumer-facing conversational interfaces that deliver answers to common questions and trigger IT support actions
- Operations assistants as conversational interfaces for human IT agents, leveraging data-driven insights to support their roles
- AI search to discover IT knowledge and solutions, including:
 - Public knowledge discovery using public large language models (LLMs)
 - Proprietary knowledge discovery using custom LLMs trained on private data and retrieval-augmented generation (RAG) or similar technologies
- IT agent advisory using either an LLM (text prediction) or machine learning techniques such as cluster analysis or pattern recognition (analytics), including:
 - Intelligent triage, for guidance on prioritization
 - Intelligent categorization of cases by service, configuration item or solution
 - Intelligent routing to identify suitable and available resolver groups
 - Intelligent escalation of cases before they hit timed service-level thresholds, without relying on static timers
 - Intelligent swarming to identify experts, including those from outside of IT
 - Sentiment analysis to warn of poor service experiences and/or low digital employee experience (DEX) scores when business consumers contact the IT service desk
 - Major incident detection when IT agents receive incidents from end users that are very high-impact but not already detected by monitoring or event intelligence platforms (machine learning required)
 - Problem detection when multiple incidents are reported that may share a common cause (machine learning required)
 - Root cause analysis for problem management investigations (machine learning required)
 - Intelligent risk advisory of planned changes using similar release history (machine learning required)

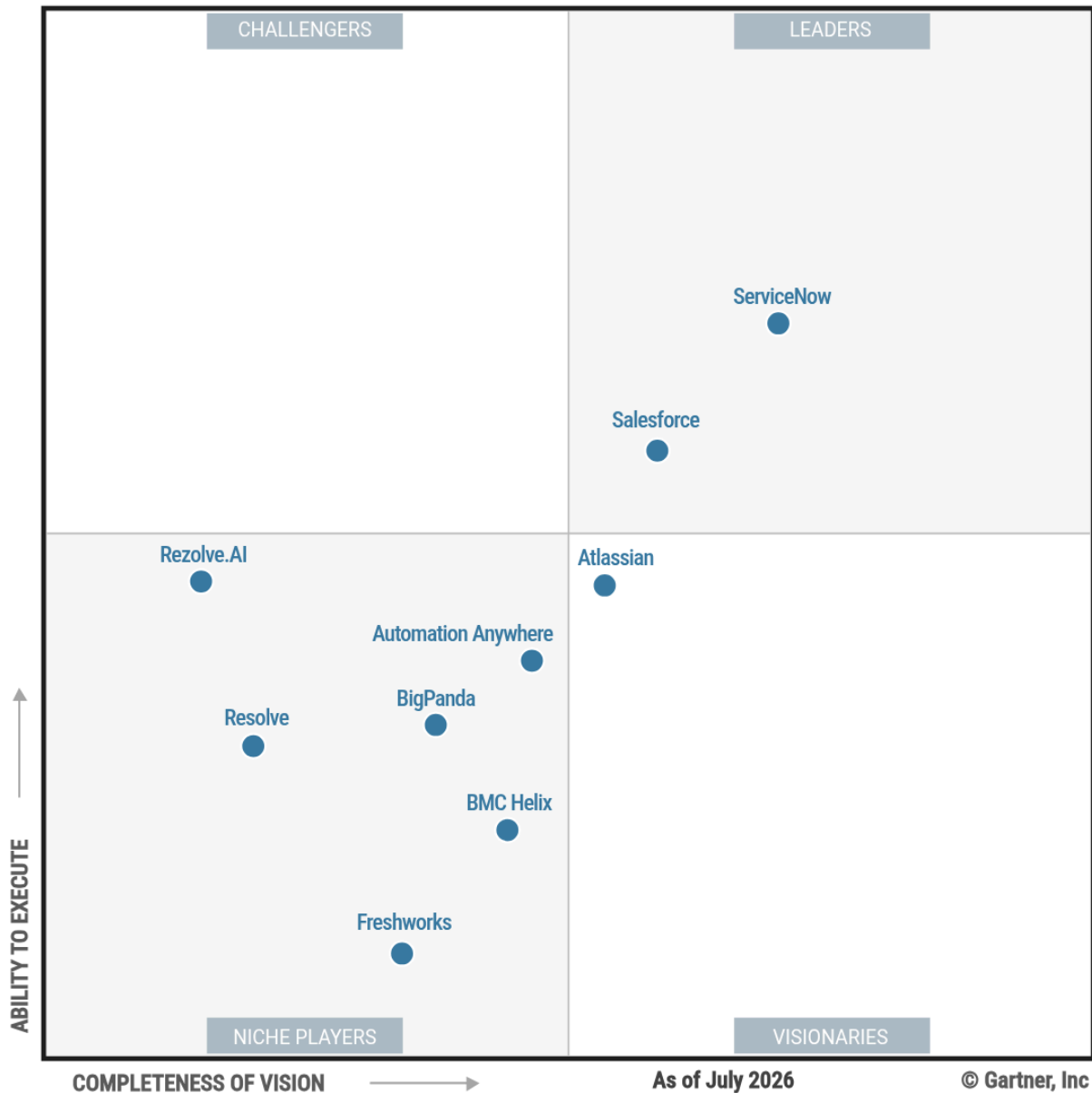
- Change optimization to identify changes that could be standardized (machine learning required)
- GenAI IT content generation, including:
 - IT knowledge generation of solutions generated from case work log notes or IT support conversations
 - Automatic communications to generate and refine case updates or major incident notifications
 - Case summarization, including:
 - Incoming incident and request summarization to help experts understand new incidents and requests
 - Intelligent postcall wrap-up to refine and standardize agent shorthand case work log notes
 - Summarization of major incidents for postincident reviews
 - Generation of ITSM reports, such as postincident and postrelease reviews
- Text-to-code generation using natural language prompts to generate new ITSM process automations and workflows, with deterministic planning and decision making at design time
- Agentic ITSM to automate ITSM practices and complex tasks, with goal seeking, nondeterministic planning and decision making at runtime, including:
 - Context engineering via automatically pulling relevant data from external sources and specialized agents, such as endpoint (DEX) or infrastructure (monitoring) systems, to inform decision making
 - Employing a reasoning-action (ReAct) loop to determine and execute the optimal steps for automating ITSM practices
 - Coordinate multistep tasks by communicating with other specialized agents using Model Context Protocol (MCP) servers or agent-to-agent (A2A) interactions

Magic Quadrant

Figure 1: Magic Quadrant for AI Applications in IT Service Management



Magic Quadrant for AI Applications in IT Service Management



Gartner

Vendor Strengths and Cautions

Atlassian

Atlassian is a Visionary in this Magic Quadrant. It is headquartered in Sydney, Australia. Its AI application in ITSM consists of AI features embedded in its ITSM platform, Jira Service Management. Additionally, Atlassian's Rovo-branded AI components can be integrated with other third-party ITSM platforms through the use of third-party connectors.

Strengths

- **Active product roadmap:** Atlassian maintains an active product roadmap with frequent enhancements. Planned improvements for extended features include a conversational ITSM platform configuration tool, observational learning for knowledge capture and a headless action engine that enables agents to resolve tickets natively within collaboration tools without requiring a separate user interface.
- **Accessible AI pricing:** Atlassian bundles AI features with Jira Service Management at no extra base cost through the activation of Rovo within its configuration. This competitive pricing has helped drive growth in its customer base.
- **Extensive partner ecosystem:** Atlassian's global partner network, with over 500 partners and specialized value realization programs, provides customers with tailored implementation and optimization services. This ecosystem enables organizations to realize greater value from Atlassian's AI capabilities in ITSM.

Cautions

- **Capability gaps:** Atlassian's product lacks depth in features, such as intelligent automation and proprietary knowledge import, compared with competitors. These gaps limit Atlassian's ability to match the innovation and impact of specialist vendors and appeal to heads of I&O seeking advanced AI capabilities in ITSM.
- **Data residency constraints:** Atlassian's hosted large language models (LLMs) reside exclusively in U.S. data centers, which may present compliance challenges for international customers that require regional data residency and sovereignty.
- **Modest AI adoption:** Despite AI features being available to all cloud-hosted ITSM platform customers, active use of these capabilities remains limited. Fewer than one-third of Atlassian customers use AI for end-user support, and adoption of AI for IT agent workflows is under one-fifth, reflecting limited customer readiness for AI. Limited customer adoption may require Atlassian to refocus its efforts on more mature market segments.

Automation Anywhere

Automation Anywhere is a Niche Player in this Magic Quadrant. It is headquartered in California, United States. Its AI application in ITSM consists of Aisera Agentic Essentials for IT, Agentic IT Ops and Agentic ITSM. These products are designed to work out of the box with third-party ITSM platforms, including ServiceNow ITSM, BMC Helix, Freshworks Freshservice,

Atlassian Jira Service Management and Salesforce Agentforce IT Service. Automation Anywhere acquired Aisera in November 2025.

Strengths

- **AI innovation foundation:** Automation Anywhere holds multiple patents relevant to AI in ITSM, primarily through vendor acquisitions, including patents for contextual intent recognition. These patents provide a foundation for differentiated innovation. The vendor prioritizes in-house development of agentic AI technologies, focusing on tailored automation for ITSM rather than commoditized AI components, such as vector databases or foundational models.
- **Customer value delivery:** Automation Anywhere provides quarterly strategic value reviews to help customers identify automation opportunities, address emerging use cases and close knowledge gaps. These reviews enable heads of I&O to continuously optimize deployments and quantify realized ROI, supporting business justification for AI investments. Customers report ease of use and responsive support.
- **Active roadmap:** Automation Anywhere maintains an active product roadmap, with enhancements planned across most AI applications for ITSM capabilities by 2027. Notable near-term improvements include conversational service catalog management, which aims to simplify catalog setup and updates for administrators.

Cautions

- **Narrow market vision:** Automation Anywhere's perspective is shaped by its robotic process automation (RPA) heritage, with a focus on automation rather than the broader landscape of AI applications for ITSM. This focus may limit its ability to anticipate and address evolving customer needs in this market in the longer term, including advanced AI-driven ITSM use cases and adaptation to new market disruptors.
- **Restricted global reach:** Automation Anywhere has limited regional reseller presence outside North America. Although partner-hosted options are available in some regions, the primary solution is hosted in U.S. data centers. These limitations may constrain international customers seeking broader regional data residency or sovereignty options.
- **Aisera integration progress:** Although Automation Anywhere's acquisition of Aisera has expanded its feature set for AI applications in ITSM, integration of Aisera's AI capabilities is still in progress. The product's focus on prescriptive workflows and evolving

interoperability between incumbent automation and new AI features could limit the overall value for heads of I&O seeking advanced agentic ITSM.

BigPanda

BigPanda is a Niche Player in this Magic Quadrant. It is headquartered in California, United States. Its AI application in ITSM consists of BigPanda AI Incident Assistant and BigPanda AI Incident Prevention. These products are designed to work out of the box with ServiceNow's ITSM platform and Atlassian Jira Service Management.

Strengths

- **AI agent focus:** BigPanda's roots in the event intelligence market have enabled the vendor to quickly and effectively develop AI features that directly support the AI for IT agent use case. This approach strengthens integration between ITSM and ITOM, enabling the product to leverage a broader range of operational signals to provide more accurate recommendations and incident response.
- **Active AI roadmap:** BigPanda maintains an active roadmap, with enhancements planned across most AI for ITSM capabilities by 2027. Notable differentiated improvements include extending the AI Incident Assistant to execute remediation scripts for known failure patterns and adding change risk analysis for continuous integration/continuous delivery (CI/CD), which applies AI risk scoring and pattern matching to code deployments.
- **Customer support experience:** BigPanda provides a structured, tiered support system with 24/7 global coverage and guaranteed response and resolution times. Customers benefit from transparent, real-time system status and incident notifications, as well as a robust onboarding process that supports migration and tailored integration through professional services.

Cautions

- **Limited ITSM platform compatibility:** BigPanda natively integrates with comparatively fewer ITSM platforms than competitors in this market, requiring customers to build custom Model Context Protocol (MCP) integrations for other ITSM platforms. This limitation restricts BigPanda's addressable market.
- **High add-on pricing:** The combination of BigPanda's AI application in ITSM, in addition to an incumbent ITSM platform, results in a comparatively higher total cost for heads of I&O who choose this provider. This higher cost may deter adoption among cost-sensitive IT

operations teams, especially when integrated AI options are available from ITSM platform vendors.

- **Regional and language constraints:** BigPanda has a comparatively smaller reseller and implementation partner presence outside North America. While its AI models support multiple languages, all other product elements, including documentation, user interface and technical support, are provided exclusively in English.

BMC Helix

BMC Helix is a Niche Player in this Magic Quadrant. It is headquartered in Texas, United States. Its AI application in ITSM consists of AI features in its ITSM platform, specifically Helix ITSM and HelixGPT. HelixGPT also works with ServiceNow ITSM using Employee Navigator and Ops Swarmer. Some use cases also require Helix Operations Management with AIOps to deliver full functionality. BMC Helix split from BMC Software in 2025. Montagu acquired a majority stake in the provider from previous owner KKR in June 2026.

Strengths

- **AI innovation and IP:** BMC Helix maintains an active innovation pipeline, with a notable number of recent patents related to AI applications for ITSM. Its use of both vendor-developed and open-source technologies, combined with ongoing R&D in domain-specific agents and retrieval-augmented generation (RAG), supports the future enhancement of its AI capabilities.
- **Global language and partner support:** BMC Helix offers well-balanced partner coverage across major regions and distinguishes itself in this Magic Quadrant by providing user interfaces, documentation and technical support in multiple languages. This approach ensures accessibility and operational support for geographically diverse IT teams.
- **Enterprise learning experience:** BMC Helix provides comprehensive support documentation and structured training programs, including frequent webinars, user groups and a broad course catalog with both instructor-led and self-paced options. These resources support ongoing learning, community engagement and readiness for enterprise-scale AI adoption.

Cautions

- **LLM management overheads:** BMC Helix does not provide or directly control the core LLM technology used in its product and does not offer built-in fine-tuning capabilities.

Customers must supply and manage their own LLMs, which increases the complexity and cost of managing the solution.

- **Additional AI costs:** Achieving full AI functionality with BMC Helix requires customers to provide their own LLM and may also require investment in Helix Operations Management with AIOps. These requirements increase total costs and could exceed the affordability threshold for some IT operations teams.
- **AI product roadmap gap:** BMC Helix is the only provider in this research that has no plans to introduce natural language case extraction, which enables automated creation of ITSM cases from unstructured text and conversations, in its product roadmap. This omission highlights a gap in expanding AI-driven capabilities relative to the market.

Freshworks

Freshworks is a Niche Player in this Magic Quadrant. It is headquartered in California, United States. Freshworks' AI application in ITSM consists of Freddy AI-branded features in its ITSM platform, specifically Freshservice Pro & Enterprise. Some use cases also require the Freddy AI Copilot add-on to deliver full functionality. Freshworks acquired Firehydrant in January 2026.

Strengths

- **Bundled AI drives upgrades:** Freshworks' inclusion of Freddy AI features within its ITSM platform has accelerated customer upgrades and growth. Many organizations opt for higher-tier enterprise packages to access the Freddy AI Copilot conversational assistant add-on, which provides enhanced AI-driven automation and support capabilities.
- **Robust sales and partner network:** Freshworks leverages a large direct sales force and an ecosystem of over 500 channel partners, including resellers and solution implementers, to provide customers with flexible purchasing and implementation options. Its established position in adjacent ITSM platform markets further enhances its partner appeal.
- **Targeted market focus:** Freshworks' Freddy AI sales strategy focuses on organizations with 500 to 10,000 employees. This strategy supports an effective go-to-market approach and enables Freshworks to better address the AI-related needs and ambitions of midsize enterprises.

Cautions

- **Data privacy limitation:** Customers that opt out of allowing the vendor to train AI models on their data, often to protect sensitive or proprietary information, are advised that their AI services will not be fully supported, resulting in limited warranty coverage.
- **Slow feature delivery:** Freshworks has been slow to address buyer needs for advanced functionality, such as clustering and change management. The AI Agent Studio remains in early access. Although customers can access the feature, Freshworks will not confirm pricing until September 2026 when it becomes generally available, raising concerns about the transition to fully supported, production-ready capabilities.
- **Integration and innovation challenges:** Freshworks' reliance on a mix of external, native and open-source AI technologies introduces complexity into integration and ongoing maintenance. Dependence on external AI models for generic reasoning also raises concerns about data privacy, compliance and the predictability of long-term costs.

Resolve

Resolve is a Niche Player in this Magic Quadrant. It is headquartered in California, United States. Its AI application in ITSM consists of the Resolve Platform. It is designed to work out of the box with third-party ITSM platforms, including ServiceNow ITSM, BMC Helix ITSM, Ivanti Neurons, Freshworks Freshservice and Atlassian Jira Service Management. Resolve acquired Espressive in September 2025.

Strengths

- **Automation-centric AI model:** Resolve leverages its service orchestration and automation heritage to extend automation into AI-driven ITSM, with components such as Barista and RITA for conversational interfaces and Jarvis for agentic actions. This automation-centric approach delivers deterministic outcomes that resonate with heads of I&O seeking reliability in IT operations and support.
- **Conversational AI integration:** The integration of Espressive's conversational AI and domain-specific language models enhances Resolve's capability to deliver advanced, enterprise-ready virtual support agents and robust knowledge management for ITSM environments.
- **Customer productivity focus:** Customer reviews highlight positive experiences with the Resolve Platform, citing strong customer service, collaboration features and responsive

support. Clients report improved workflow and operational outcomes, reinforcing the product's value for enterprise IT teams.

Cautions

- **Narrow AI market vision:** Resolve's vision focuses on its core competencies in automation software, which could limit the vendor's ability to address a broader range of AI-driven ITSM use cases. This focus may impair its responsiveness to emerging customer needs and market disruptors beyond task automation.
- **Underdeveloped AI capabilities:** Resolve's natural language features and AI search are underdeveloped, resulting in inconsistent and inaccurate responses and limited support for proprietary data. Reliance on external, non-fine-tuned language models and the absence of customer-specific tuning further constrain reliability and enterprise value.
- **Small partner ecosystem:** Resolve's partner network includes only a small number of major system integrators and lacks the breadth of resellers and implementation partners offered by other vendors. This limitation may present challenges for customers seeking local support and deployment expertise.

Rezolve.AI

Rezolve.AI is a Niche Player in this Magic Quadrant. It is headquartered in California, United States. Its AI application in ITSM consists of several products, including Agentic Sidekick, AI Operations Assistant, DeskIQ and VoicelQ. These products are designed to work out of the box with its ITSM platform, Rezolve.AI AITSM, as well as third-party ITSM platforms, including ServiceNow ITSM, BMC Helix, Freshworks Freshservice, Atlassian Jira Service Management, ManageEngine Service Desk Plus and others.

Strengths

- **Best-in-class product capability:** Rezolve.AI's product demonstrates comprehensive support for current AI applications in ITSM market needs, with broad integrations across leading tools and systems. The platform's robust security features and certifications underpin reliability, and its intuitive user interface enables efficient adoption and operation for IT teams.
- **Service management-focused AI:** Rezolve.AI has leveraged its team of experienced AI practitioners to develop its product. This approach has enabled the product to deliver

practical, high-impact use cases that move beyond superficial AI features to address real operational challenges for IT agents.

- **Enterprise-grade support:** Customer feedback indicates high appreciation for Rezolve.AI's structured support, which aligns with enterprise ITSM requirements. Contractual SLAs provide 24/7 coverage for critical issues, and clients report ease of setup, helpful communications and timely resolution.

Cautions

- **High pricing limits market presence:** Rezolve.AI's pricing model charges separately for multiple products and bases Agentic Sidekick end-user support costs on total employee count, resulting in a comparatively high total cost. This pricing model may limit adoption among cost-sensitive organizations, particularly given the vendor's relatively small market presence.
- **Limited AI roadmap clarity:** Rezolve.AI's planned enhancements to clustering and reasoning models are incremental in scope and offer only modest improvements. Most other planned enhancements target adjacent markets, such as digital employee experience (DEX) management tools or ITSM platforms, rather than AI applications for ITSM. This emphasis on adjacent markets highlights a lack of clear communication about the vendor's future plans in this market.
- **Lack of innovation protection:** Rezolve.AI has no registered patents, which, despite its strong alignment with current market needs, raises concerns about future IP protection and sustained innovation in product development.

Salesforce

Salesforce is a Leader in this Magic Quadrant. It is headquartered in California, United States. Its AI application in ITSM consists of AI features in its ITSM platform, specifically Agentforce IT Service. Salesforce launched Agentforce IT Service in October 2025.

Strengths

- **Enterprise-ready AI capabilities:** Salesforce's AI application for ITSM benefits from mature platform technologies, including the Agentforce Trust Layer and MuleSoft for Flow, derived from its established presence in adjacent markets. These capabilities support advanced natural language and agentic technologies, positioning Salesforce to support large enterprise AI in ITSM deployments.

- **Early AI adoption strategy:** Salesforce has leveraged its large SaaS platform customer base to drive early adoption of its AI application for ITSM, establishing a strong initial competitive presence. By cross-selling to existing clients and utilizing established account relationships, Salesforce accelerates uptake of its AI for ITSM offering and supports growth in this emerging market.
- **Global coverage and language support:** Salesforce offers broad geographic coverage through its network of consulting partners, diverse hosting options and local offices in many countries. The vendor stands out in this Magic Quadrant for providing product user interfaces, documentation and technical support in multiple languages.

Cautions

- **Limited nonincumbent customer traction:** Salesforce's AI application for ITSM has yet to demonstrate sustained success in attracting new customers outside its existing customer base or displacing incumbent competitors. Early sales primarily involve existing clients, and the solution is not competitively priced for cost-sensitive buyers, which could impair growth.
- **Partner network gaps:** Salesforce lacks a sufficient number of dedicated partners to resell the Agentforce IT Service product and instead relies on implementation and consulting channels. This reliance may limit scalability and constrain growth when Salesforce competes with established vendors in this market.
- **Onboarding and usability challenges:** The breadth and complexity of Salesforce's out-of-the-box AI agents, orchestration options and customization tools can create onboarding and usability challenges for new customers. Organizations with limited technical resources may struggle to realize the full value of the AI application, potentially impacting the overall customer experience.

ServiceNow

ServiceNow is a Leader in this Magic Quadrant. It is headquartered in California, United States. ServiceNow's primary AI application in ITSM consists of AI features in its ITSM platform, specifically ServiceNow ITSM. It also offers Moveworks from ServiceNow, which is designed to work out of the box with third-party ITSM platforms, including BMC Helix ITSM, Freshworks Freshservice, Atlassian Jira Service Management, Ivanti Neurons, ManageEngine Service Desk Plus and others. ServiceNow acquired Moveworks in December 2025.

Strengths

- **Market responsiveness:** ServiceNow has rapidly integrated technologies from its Moveworks acquisition, including some elements of the conversational UI from EmployeeWorks, which have significantly improved AI search and user experience. The inclusion of AI Control Tower centralizes governance and visibility into AI assets, streamlining the management and optimization of AI-driven ITSM processes.
- **Extensive partner ecosystem:** ServiceNow offers a large, global partner network, providing customers with flexibility to purchase directly or through third-party resellers and service providers. Partners deliver the majority of consulting and implementation services, enabling global scalability and robust customer enablement, with the exception of Moveworks solutions, which are still primarily implemented in-house.
- **Active AI roadmap:** ServiceNow maintains an active roadmap, with enhancements planned for most AI applications in ITSM by 2027. Notable developments include the Change Manager AI Specialist, which emulates the change manager persona to guide stakeholders through the change life cycle. There have also been enhancements to MCP for ITSM, which allow AI agents and third-party clients to execute ITSM actions through standardized interfaces.

Cautions

- **Pricing challenges:** ServiceNow's inclusion of GenAI features in all ITSM platform tiers could increase costs for customers, including those that do not use AI capabilities. Its consumption-based AI pricing adds unpredictability and can further increase costs for organizations that fail to monitor and control AI usage effectively.
- **Complexity and support limitations:** Customers perceive ServiceNow's product as complex to set up and maintain. Live support outside standard business hours is not available to customers on nonpremium support tiers, who instead must use self-service during these times. Customers report delayed responses and assistance for noncritical issues, along with additional fees for advanced support.
- **Moveworks positioning:** ServiceNow is placing more emphasis on developing the stand-alone Moveworks product as a conversational AI platform that serves as a "front door" to other systems. This product strategy can create uncertainty for incumbent Moveworks from ServiceNow customers about the product's long-term role as a dedicated AI application for ITSM.

Vendors Added and Dropped

We review and adjust our inclusion criteria for Magic Quadrants as markets change. As a result of these adjustments, the mix of vendors in any Magic Quadrant may change over time. A vendor's appearance in a Magic Quadrant one year and not the next does not necessarily indicate that we have changed our opinion of that vendor. It may be a reflection of a change in the market and, therefore, changed evaluation criteria, or of a change of focus by that vendor.

Added

- Automation Anywhere
- BigPanda
- Resolve
- Rezolve.AI
- Salesforce

Dropped

- Aisera
- Halo ITSM
- ManageEngine
- Moveworks
- SymphonyAI
- SysAid

Inclusion and Exclusion Criteria

Providers must be deemed relevant to Gartner clients for inclusion in this research, as determined by analyst expertise and opinion. Relevance is influenced by but not limited to:

- Alignment with the market definition

- Commercial availability
- Product capabilities
- Proprietary solutions
- Enterprise viability
- Market impact

Evaluation Criteria

Ability to Execute

Product or Service: This evaluation criterion primarily examines the provider's ability to meet the critical capabilities of AI applications in ITSM. It also evaluates the product's user experience, ease of use, security and privacy features, and integrations with related products, such as ITSM platforms.

Overall Viability: This evaluation criterion primarily examines the provider's product revenue and other funding that support the growth and continued investment of AI applications in ITSM. It also evaluates the number of dedicated staff assigned to product development.

Sales Execution/Pricing: This evaluation criterion primarily examines product bundling and pricing approaches, the ability to expand deals through bundled and/or additional professional services, and the overall effectiveness of the sales channel. It also evaluates the product's comparative cost relative to competing offerings and how customers perceive that cost.

Market Responsiveness/Record: This evaluation criterion primarily examines the speed and cadence of product releases and the provider's ability to bring features specific to AI applications in ITSM to market. It also evaluates the success of driving active customer adoption of those features.

Marketing Execution: This criterion is not evaluated in this research as it reflects the provider perspective rather than the head of I&O (customer) perspective.

Customer Experience: This evaluation criterion primarily examines the assistance and guidance provided to customers, as well as the flexibility of LLM training and migration. It also

evaluates the general onboarding and offboarding experience and the implementation effort required. Customer feedback from sources including, but not limited to, Gartner Peer Insights and client/expert interactions is taken into consideration.

Operations: This criterion is not evaluated in this research as the market is predominantly software-focused.

Ability to Execute Evaluation Criteria	
Evaluation Criteria	Weighting
Product or Service	High
Overall Viability	Low
Sales Execution/Pricing	High
Market Responsiveness/Record	High
Marketing Execution	NotRated
Customer Experience	Medium
Operations	NotRated

Source: Gartner (August 2026)

Completeness of Vision

Market Understanding: This evaluation criterion examines the provider’s ability to address present and future customer priorities across the AI for end-user self-service, AI for IT agents and AI for autonomous ITSM use cases. It also evaluates the provider’s understanding of the market, potential disruptors and the customer segments it must target to maximize product success.

Marketing Strategy: This criterion is not evaluated in this research as it reflects the provider perspective rather than the head of I&O (customer) perspective.

Sales Strategy: This evaluation criterion examines the provider’s ability to gain customers through its sales force and partners, and direct prospects to the optimal sales channel based on customer type and location. It also evaluates how the provider identifies opportunities to drive future growth.

Offering (Product) Strategy: This evaluation criterion examines the provider’s ability to maintain a product roadmap that addresses both the short- and long-term needs of customers. It also evaluates the roadmap’s length, content and relevance to product enhancement requests.

Business Model: This evaluation criterion primarily examines the provider’s growth strategy, value proposition and synergies across adjacent products and services.

Vertical/Industry Strategy: This criterion is not evaluated in this research as products in this market do not have any notable vertical- or industry-specific differentiation.

Innovation: This evaluation criterion examines the provider’s ability to allocate sufficient R&D resources to the AI applications for ITSM market and support ongoing product development. It also evaluates the provider’s focus on internal innovation, including patents that protect native IP, versus partnering with other tech providers.

Geographic Strategy: This evaluation criterion primarily examines the provider’s global resources, including offices, partners, data centers and language support. It also evaluates AI hosting location, including governance and regional compliance of AI models that support global customer requirements. In addition, it evaluates the provider’s customer presence in each region.

Completeness of Vision Evaluation Criteria	
Evaluation Criteria	Weighting
Market Understanding	High
Marketing Strategy	NotRated

<i>Evaluation Criteria</i>	<i>Weighting</i>
Sales Strategy	Medium
Offering (Product) Strategy	High
Business Model	Low
Vertical/Industry Strategy	NotRated
Innovation	High

Source: Gartner (August 2026)

Quadrant Descriptions

Leaders

Leaders have executed well, with broad market reach, strong customer awareness of their participation in this market and high levels of adoption, as evidenced by Gartner client interaction data, growth and market presence. Leaders have a clear vision and roadmaps that capitalize on relevant opportunities and address the challenges of using AI and generative AI in ITSM across multiple use cases. Leaders demonstrate the product, vision and sales capabilities required to drive market acceptance.

Challengers

Challengers have executed well, growing market revenue and generating sufficient customer awareness to compete with established providers. However, Challengers generally do not drive market innovation as strongly as Leaders or Visionaries. This weaker innovation focus typically results from prioritizing adjacent markets in their roadmaps, such as conversational AI solutions or ITSM platforms.

Visionaries

Visionaries deliver innovative approaches that address differentiated and future opportunities to apply AI in ITSM, such as agentic AI, natural language case extraction or IT knowledge generation. However, they have not yet executed as effectively as Challengers or Leaders. Visionaries offer differentiated messaging and product strategies that resonate with buyers' evolving needs.

Niche Players

Niche Players in this market demonstrate strengths in specific areas of AI in ITSM and often offer solid capabilities for particular use cases. However, they generally have not invested sufficiently to satisfy all requirements for Completeness of Vision and Ability to Execute. Established providers in this quadrant may position AI applications for ITSM as add-on offerings or exploratory extensions of established markets, such as conversational AI platforms or ITSM platforms. The Niche Players in this Magic Quadrant are expanding their go-to-market efforts and have not yet developed the vision required to break out of the quadrant.

Context

The goal of any Magic Quadrant is to provide a high-level view of comparable vendors of similar size, capability and corporate structure that address the demands of a wide variety of buyers. Not every company's requirements are identical. We encourage clients to review the accompanying Critical Capabilities for AI Applications in IT Service Management research for use case and functionality requirements, along with this Magic Quadrant, to align industry expertise, vision, technology and cost requirements with the right vendor, regardless of the vendor's quadrant placement. Buyers should evaluate providers against specific outcome-driven requirements rather than expect a fully capable end-to-end solution.

Gartner provides context to help buyers understand how features relate to potential business outcomes in [AI Use-Case Assessment for IT Service Desk](#).

Market Overview

Market Outlook

The market for AI applications in ITSM is currently considered a subcategory of ITSM platform software spending, which generated approximately \$8.9 billion in 2025, representing a 13.7% year-over-year (YoY) increase (see [Market Share: IT Operations Management Software, Worldwide, 2025](#)). The ITSM platform software category is part of the value management market subsegment, which Gartner forecasts to reach \$25.1 billion by 2030, representing an 8.4% five-year compound annual growth rate (CAGR) in constant currency (see [Forecast: Enterprise Infrastructure Software, Worldwide, 2024-2030, 2Q26](#)).

The market for AI applications in ITSM is expected to sustain robust growth as organizations prioritize automation, operational efficiency and improved employee experiences. As the market matures, differentiation will increasingly depend on vendors' ability to deliver verifiable, outcome-oriented automation that aligns with ITSM and business priorities.

In parallel with consolidation among established vendors, new entrants — particularly startups — continue to enter the market with a focus on agentic and workflow automation. While these new providers appeal to heads of I&O seeking market disruptors, they may lack the deep ITSM-specific capabilities required for complex enterprise environments. As a result, established vendors with robust ITSM portfolios and proven integration capabilities are expected to maintain a competitive advantage.

Current Market Landscape

Market Dynamics

The market for AI applications in ITSM continues to evolve, driven by advances in AI and natural language technologies.

AI and GenAI capabilities are increasingly present in adjacent markets, such as event intelligence, conversational AI platforms, digital employee experience (DEX) tools, and security information and event management (SIEM) solutions. However, AI applications for ITSM differentiate themselves through their reliance on ITSM data and metadata as primary inputs, which help ensure alignment with ITSM practices. Although adjacent solutions provide value, they are typically optimized for other data sources and workflows.

Acquisitions

This market saw several significant acquisitions in late 2025. Notable deals included ServiceNow's acquisition of Moveworks for \$2.85 billion to enhance AI capabilities and redefine employee engagement in ITSM. Other notable transactions included Automation

Anywhere's acquisition of Aisera in November 2025 and Resolve's acquisition of Espressive in September 2025. These acquisitions reflect a trend of vendors acquiring missing capabilities to strengthen IT automation and workflow orchestration solutions.

Adoption Patterns and Challenges

Both buyers and vendors typically begin their AI for ITSM journeys with conversational AI as the primary entry point, most commonly through virtual support agents for end-user self-service. Since 2025, AI for IT agent use cases, including IT agent advisory capabilities, has become the primary buyer requirement, although organizations typically deploy these capabilities alongside, rather than instead of, AI for end-user self-service. This dual focus reflects heads of I&O's need to optimize operating costs by improving both the employee support experience and the operational efficiency of ITSM teams.

Since early 2025, heads of I&O have increasingly focused on data quality, particularly the accuracy and completeness of configuration management and other ITSM data. This emphasis on data quality stems from the recognition that reliable, high-quality information forms the foundation of effective AI applications in ITSM. Many organizations have encountered knowledge management challenges, including the need to simplify, consolidate or remove conflicting and excessive knowledge base content to reduce AI hallucinations and improve result accuracy. Although AI continues to improve its ability to search and summarize unstructured information, curating and maintaining a reliable knowledge base remains challenging.

Many products rely primarily on prompts to public LLMs to simulate IT agent advisory capabilities rather than employing traditional machine learning techniques such as cluster analysis and pattern recognition on ITSM data and metadata. Although LLMs support natural language interactions and generate plausible recommendations, they are less effective at data analysis and do not provide the operational reliability associated with non-GenAI machine learning approaches. Gartner generally considers products that do not incorporate machine learning for pattern recognition, clustering or predictive analytics to be less mature because these capabilities remain essential for advanced ITSM use cases such as root cause analysis, major incident detection and risk advisory.

Emerging Requirements

The desire for agentic automation has accelerated, but the market is still in transition. While vendors widely market agentic capabilities, most solutions still rely on scripted workflows or

basic automation, partly because heads of I&O prefer predictable, deterministic automation. Notably, the term “agentic” has shifted from vendor and marketing language to broader use by heads of I&O, often serving as shorthand for self-service automation and call deflection through conversational interfaces. Currently, real-world ITSM practices involving nondeterministic reasoning remain largely theoretical, making agentic ITSM primarily a “build” rather than a “buy” proposition.

While voice-enabled AI and multilingual support remain important requirements for some enterprises, most vendors in this market do not prioritize these capabilities. In many cases, organizations obtain voice and translation capabilities through underlying platform components, such as operating system features or telephony integrations, rather than through the AI application itself. As a result, support for voice and multilingual capabilities varies significantly across the market and often depends on the underlying technologies or communications platform ecosystem.

Geographic requirements are also influencing vendor selection. In particular, enterprises in Europe, Canada and China are prioritizing data residency, data sovereignty and regional support when making AI for ITSM purchasing decisions.

Outlook Summary

As vendors race to deliver advanced features, some have deprioritized core value outcomes, leading to uneven solution quality and increased buyer skepticism. Heads of I&O are becoming increasingly discerning, prioritizing solutions that demonstrate measurable operational improvements, support modular deployment, and rely on ITSM data and workflows. The market’s shift toward zero-touch IT support, agentic automation and improved data quality is expected to continue, shaping both vendor strategies and buyer expectations in the year ahead.

Acronym Key and Glossary Terms

Cluster analysis	Cluster analysis, also known as clustering, is the process of categorizing a collection of data objects into distinct groups, referred to as clusters. The primary objective is to ensure that objects within the same cluster are more alike to each other than to those in other clusters.
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Generative AI (GenAI)	Generative AI techniques learn from representations of data and model artifacts to generate new artifacts.
Large language model (LLM)	Large language models are AI foundational models that have been trained on vast amounts of unlabeled textual data. Applications can use LLMs to accomplish a wide range of tasks, including question answering, content generation, content summarization, retrieval-augmented generation (RAG), code generation, language translation and conversational chat.
Agentic AI	Agentic AI is an approach to building AI solutions based on the use of one or multiple software entities that are classified, completely or at least partially, as AI agents. AI agents are autonomous or semiautonomous software entities that use AI techniques to perceive, make decisions, take actions and achieve goals in their digital or physical environments.

⊕ Evaluation Criteria Definitions

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